

deal, he may not necessarily be capitalizing on some inside information. But if he is, then the jobber would likely be in for trouble.

A jobber was always in demand because brokers preferred to deal with him rather than with each other. Since jobbers played for small profit margins by trading as many times as possible, brokers had the comfort that they would not be overcharged. Most jobbers had to get out of their positions quickly enough, even if it meant taking a smaller profit, since their ability to absorb losses was limited. Rarely did they carry positions to the next day.

There was an unwritten rule that brokers would not try to make a big profit at the expense of the jobber because that could ruin him. At the same time, the jobber too had to respect the confidentiality of the broker dealing with him. If a broker was buying on behalf of a promoter using some inside information or buying a huge block of shares for an institution, he would, after the trade, casually tell the jobber something like, 'Don't keep your position open for too long,' or 'Take your profit and move on quickly.'

This meant that more buying or selling was coming and that the price could see a sharp move. Of course, the broker had to trust the jobber enough to let him in on such information. An honest jobber would then try to close out his position quickly and not take up a position on the same side as the broker so as to profit from the information.

Brokers looking to buy or sell large blocks were often at the mercy of jobbers, and it was to the credit of the jobbing community that a great majority of them did not misuse this power. As mentioned earlier, the quote offered by a jobber was valid only for a certain quantity of shares. Beyond that quantity, a buyer or seller would have to move on to the next jobber or trust the same jobber's ability to source the extra shares or dispose of the remaining shares, as the case may be.

There was a dangerous and hated breed of jobbers called 'robbers'. Though they were in a minority, they were financially strong and had the wherewithal to hold on to large positions. The code of honour and unwritten rules among trading members mattered little to these 'robbers', whose only motive was to earn maximum profit even if it came at the expense of their clients.

Despite knowing the 'robbers' were dishonest, brokers often had to deal with these characters for buying or selling large blocks of shares. If a broker was looking to buy a big chunk of shares, the 'robber' would corner as